

Tax Deductibility of Mortgage Interest

Many people do not realize that mortgage interest isn't necessarily tax deductible in full, even on one's primary residence. The government recognizes two different types of mortgage interest: acquisition indebtedness and home-equity indebtedness.

With acquisition indebtedness, you may not deduct interest for more than \$1 million of debt related to the acquisition of your primary home plus one vacation home. Acquisition indebtedness means a mortgage incurred in order to acquire, construct, or substantially improve a qualified home. If you are married and filing separately, the limit is reduced to \$500,000 per spouse. With home-equity indebtedness, you may not deduct interest related to more than \$100,000 of this kind of debt. Home-equity indebtedness is defined as a mortgage incurred for purposes other than to acquire, construct, or substantially improve your home. This limitation also applies to acquisition indebtedness to the extent it exceeds the \$1 million limit described above. If you are married and filing separately, the limitation is reduced to \$50,000 per spouse.

You should also note that for purposes of calculating your alternative minimum tax (AMT), all home-equity indebtedness deducted for ordinary tax purposes must be added back. The alternative minimum tax is a way to ensure that taxpayers pay at least a minimum amount of tax. The AMT has a completely different set of calculations than the regular tax. For the regular tax, you add up your total income, subtract various deductions and personal exemptions, then calculate the tax. You can claim various credits against the regular tax to reduce your tax even further. The AMT, however, does not allow the standard deduction, personal exemptions, or certain itemized deductions. Also, some income that is not subject to the regular tax is added for AMT purposes. Your tax under AMT rules may be higher than your tax under regular tax rules. For example, let's say you borrowed \$800,000 to buy your primary residence and another \$600,000 to buy a second home. Your acquisition indebtedness amount is only the interest related to 1 million/1.4 million of total interest paid, or five-sevenths of total interest paid.